

Analysis of Contemporary Economic Issues

Guidance 9: Competition Policy

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Competition Policy: A Definition

Definition

Competition policy is the set of **policies and laws** which ensure that competition in the marketplace is not restricted in such a way as to **reduce economic welfare**.

Two key implications of this definition:

- It allows us to assess **anti-competitive business practices** (cartels, abuse of dominance, anti-competitive mergers).
- It allows us to assess **the desirability of competition laws** themselves, i.e. whether a given rule actually improves welfare.

Why this matters

Competition policy is **instrumental**, not absolute. The goal is welfare, *not* maximum competition for its own sake. Some restrictions on competition (e.g. patents, R&D cooperation) can actually raise welfare.

The Three Pillars of Competition Policy

Competition policy operates on three main fronts:

Anti-competitive agreements

Cartels, price-fixing, market sharing among competitors.

→ **Article 101 TFEU.**

Abuse of dominance

Exclusionary or exploitative behaviour by firms with market power.

→ **Article 102 TFEU.**

Merger control

Pre-emptive review of mergers that could create or strengthen dominance.

→ **EU Merger Regulation.**

Today's guidance focuses on the first two pillars (Articles 101 and 102).

Welfare as the Standard Tool

Welfare is the standard economic tool to measure how an industry performs:

$$W = CS + PS$$

where CS = consumer surplus, PS = producer surplus (profit).

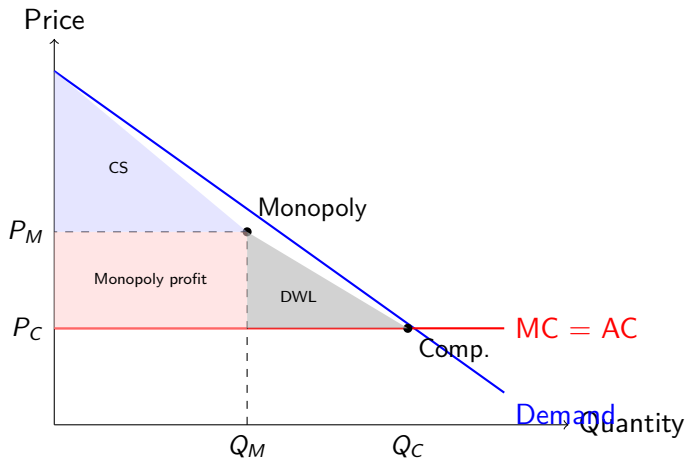
Effect of market power:

- More market power $\implies$ higher prices $\implies CS \downarrow$ and $PS \uparrow$.
- In general, the gain in PS does **not** compensate the loss in CS .
- Net effect: $W \downarrow$ with monopolisation $\implies$ **deadweight loss** $\implies$ need for regulation.

Important caveat

The welfare measure W **completely overlooks income distribution**. Why is this acceptable?
 $\rightarrow$ In theory, $W \uparrow$ is compatible with a redistribution scheme such that *both* $CS \uparrow$ and $PS \uparrow$.

The Deadweight Loss from Monopoly Pricing



Monopoly pricing transfers part of CS to PS (rectangle), but creates a **deadweight loss** (triangle) – transactions that would have happened under competition no longer occur.

Total Welfare or Consumer Welfare?

Should competition authorities maximise $W = CS + PS$, or just CS ?

Arguments *for* focusing on CS

- Consumers are **more fragmented** than firms; CS is dispersed across many people who can't easily organise.
- Firms have **informational advantages** over competition authorities (Besanko & Spulber, 1993). Focusing on CS counterbalances this.
- Counter-balance against **lobbying biases** (Neven & Roeller, 2000) – firms can lobby; consumers cannot.

Arguments *against* focusing on CS

- Pricing at $MC \implies$ how to cover **fixed costs**? (Especially in industries with R&D, infrastructure.)
- Lack of **incentives to innovate and invest** on the firm side.
- Ignores **redistributive effects**: consumers ultimately *own* firms (through pension funds, shares).

In practice: EU and US authorities have shifted toward a "consumer welfare standard" since the 1980s-2000s, but recent debates (Khan, 2017 – "Amazon's Antitrust Paradox") question this.

Defence of Smaller Firms (SMEs)

Does helping smaller firms raise welfare? It depends.

Yes, when limited to:

- Protecting SMEs from **abuse** by larger competitors (e.g. predatory pricing).
- Granting SMEs a **small advantage** to balance the economic and financial power of larger rivals (e.g. exemption thresholds in merger control).
- Supporting SMEs $\implies$ more competition, broader product variety, lower prices.

No, when:

- Artificially helping inefficient small firms to survive $\implies$ **misallocation of resources**.
- Protecting "national champions" against efficient foreign competitors $\implies$ rents at the expense of consumers.

Key tension

Protecting competition (good) is not the same as **protecting competitors** (often bad).

Market Integration

- Promoting **market integration** is a **high priority** of EU competition policy – specific to the European context.
- It is fundamentally a **political** objective: building a Single Market.
- Its impact on welfare is **not automatic**, it may or may not raise welfare in any given case.

Key example: cross-border price discrimination

The EU **prohibits** firms from charging different prices in different Member States to maintain market segmentation.

Welfare impact: ambiguous. Uniform pricing across MS may benefit consumers in low-WTP countries (lower prices) but harm consumers in high-WTP countries (higher prices), and may reduce total quantity sold.

Economic Freedom

- A **big deal in some legal traditions**, especially **Germany** (*Ordoliberalismus*, Freiburg School).
- Competition seen not just as efficiency-enhancing, but as a **value in itself**, it preserves the economic freedom of market participants.
- Generates a potential **trade-off: economic freedom vs economic efficiency** (Kuehn, 1997).

Where the tension shows up

- **Vertical restraints**: a manufacturer imposes clauses on retailers (e.g. resale price maintenance, exclusive territories).
- **Territorial restraints**: contracts that limit where retailers can sell.

These can be **efficiency-enhancing** (avoid free-riding among retailers) but also **restrict freedom** of downstream firms.

Fairness, Equity, and Other Considerations

Fairness and equity – two perspectives:

- **Customer perspective:** protection from **excessive prices** charged by dominant firms (basis for Article 102 – exploitative abuse).
- **Firm perspective:** no entry barriers, **equal opportunity** to compete on the merits.

Other (miscellaneous) considerations:

- **Social:** SMEs are more likely to create new jobs.
- **Political:** excessive concentration of wealth and power $\implies$ harm to democracy.
- **Environmental:** a *less* competitive market for energy-inefficient appliances may benefit the environment $\implies$ legitimate exception?
- **Strategic:** support local champions, or break up foreign champions.

These objectives can conflict with each other – the law has to balance them case-by-case.

Historical Origins of European Competition Law

Starting point: the **Paris Treaty of 1951** between France, Germany, Italy, and the Benelux countries.

Created the **European Coal and Steel Community (ECSC)**, which prohibited:

- Trade barriers;
- Discriminatory practices;
- Other restrictive practices distorting competition.

Why competition law from the start?

Two main reasons:

- ① **Concerns about the economic power of post-war Germany** – ensure other countries had access to coal and iron ore (deconcentration).
- ② **Influence of US economic success** $\implies$ understanding free competition as the key to efficiency $\implies$ desire to maintain competitive markets in Europe.

From the TEC to the TFEU: A Note on Numbering

- The lecture cites **Article 81** and **Article 82** of the **Treaty Establishing the European Community (TEC)**.
- Since the **Treaty of Lisbon (2009)**, these provisions have been renumbered:
 - **Article 81 TEC = Article 101 TFEU** (anti-competitive agreements);
 - **Article 82 TEC = Article 102 TFEU** (abuse of dominance).
- **The substance is identical**, only the article numbers changed.
- In modern legal sources and EU Commission decisions, you will see **Articles 101 and 102 TFEU**.

Article 101(1): The Prohibition

Article 101(1) – the core prohibition

Forbids *"agreements between undertakings, decisions by associations of undertakings and concerted practices which may affect trade between Member States and which have as their object or effect the prevention, restriction or distortion of competition within the common market."*

Specifically, the article targets agreements that:

- **Directly or indirectly fix** purchase or selling prices, or any other trading conditions.
- **Limit or control** production, markets, technical development, or investment.
- **Share markets** or sources of supply (geographic / customer allocation).
- Apply **dissimilar conditions to equivalent transactions**, placing partners at a competitive disadvantage (discrimination).
- Make contracts subject to **supplementary obligations unrelated to the subject of the contract** (tying).

Article 101(2) and 101(3): Sanction and Exemption

Article 101(2) – the sanction

*"Agreements or decisions prohibited pursuant to this article shall be **automatically void**."*

→ No need for a court ruling: such agreements are unenforceable from the start.

Article 101(3) – the exemption

Agreements may be **exempted** if they meet **four cumulative conditions**:

- 1 Contribute to improving production or distribution, or to promoting technical/economic progress;
- 2 Allow consumers a **fair share** of the resulting benefit;
- 3 Restrictions are **indispensable** to attaining these objectives;
- 4 Do **not eliminate competition** in respect of a substantial part of the product.

All four conditions must be satisfied – failing on any one defeats the exemption.

Article 101: Comments and Practical Application

Horizontal vs vertical agreements

- **Horizontal agreements** (between competitors at the same level): typically **reduce competition** $\Rightarrow$ should be **prohibited in most cases** (e.g. cartels). Exception: cooperation in R&D.
- **Vertical agreements** (between firms at different stages of production – e.g. manufacturer + distributor): typically **efficiency-enhancing** $\Rightarrow$ generally permitted, *unless* parties have substantial market power.

Two further key points:

- Agreements need **not be formal or signed** – **tacit collusion** (parallel pricing, signalling) can fall within Article 101 if it produces a "concerted practice".
- Some sectors (**agriculture, transport, defence**) and some activities (**specialisation, R&D cooperation, technology transfer**) enjoy **block exemptions** from Article 101(1).

Article 101 – Real-World Examples

Trucks cartel (2016)

Daimler, MAN, Volvo/Renault, Iveco, DAF colluded for **14 years** (1997-2011) on truck prices and on the timing/passing-on of emissions costs.
→ Fines of €3.8 billion – the largest cartel fine in EU history at that time.

Container shipping cartel (2018)

Major shipping liners coordinated freight rate increases on transatlantic and Asia-Europe routes.

Tacit collusion: airline fuel surcharges

In several investigations, airlines were found to have engaged in **parallel pricing** of fuel surcharges – without explicit agreement, but with similar effects.

Vertical agreements: Pierre Fabre (2011)

The CJEU ruled that a manufacturer's **absolute ban** on online sales by retailers was an unlawful restriction by object (Article 101).

Article 102: The Prohibition

Article 102 – the core prohibition

*"Any abuse by one or more undertakings of a **dominant position** within the common market or in a substantial part of it shall be prohibited as incompatible with the common market in so far as it may affect trade between Member States."*

Examples of abusive practices listed in the article:

- Imposing **unfair purchase or selling prices** or other unfair trading conditions (*exploitative abuse*).
- **Limiting production, markets, or technical development** to the prejudice of consumers.
- Applying **dissimilar conditions** to equivalent transactions $\implies$ competitive disadvantage (discrimination).
- **Tying**: making contracts subject to obligations unconnected to the subject of the contract.

*Note: dominance **itself** is **not** prohibited – only the **abuse** of a dominant position is.*

Article 102: What is "Dominant Position"?

The legal concept: hard to translate from jurisprudence into economics.

In practice:

- In some cases, a market share of just **40%** – far from a monopoly – can be considered "dominance".
- Courts also look at: **barriers to entry**, financial resources, vertical integration, competitor strength, technological lead.
- **Effective economic translation:** *"dominant position"* $\approx$ ***significant market power***.

Reference thresholds (rules of thumb, not legal certainties)

- Market share $< 40\%$: dominance unlikely.
- Market share between 40% and 50%: case-by-case analysis (other factors decisive).
- Market share $> 50\%$: presumption of dominance (*AKZO*, 1991).
- Market share $> 75\text{-}80\%$: dominance virtually certain.

Article 102: What Counts as "Abuse"?

Three main categories of abuse:

Exclusionary abuses

Behaviour that **forecloses competitors** or makes their entry/expansion harder:

- **Predatory pricing** (selling below cost to drive out rivals);
- **Refusal to supply** an essential input;
- **Tying / bundling** (Microsoft Internet Explorer);
- **Loyalty rebates** that reward customers for buying exclusively.

Price discrimination

Charging different prices to similar customers, placing some at a competitive disadvantage.

Exploitative abuse

Charging **excessive consumer prices** – the most direct form of exploiting market power.

Article 102 – Real-World Examples

Microsoft (2004)

Tying **Windows Media Player** with Windows.
Refusal to supply interoperability information to competitors.

→ Fine: €497 million + behavioural remedies.

Google Shopping (2017)

Self-preferencing in search results: Google promoted its own comparison-shopping service, demoted rivals.

→ Fine: €2.42 billion.

Google Android (2018)

Imposing restrictions on Android device manufacturers and mobile network operators to entrench Google Search dominance.

→ Fine: €4.34 billion (largest at that time).

Intel (2009, 2017, 2022)

Loyalty rebates to PC manufacturers conditional on near-exclusive purchases of Intel CPUs.

→ Fine partly annulled in 2022 – ongoing legal saga.

True or False:

- Holding a dominant position in a market is itself prohibited under Article 102 TFEU.
- Article 101 TFEU applies only to formal, written agreements between competitors.
- In EU competition law, vertical agreements between firms at different stages of production are generally treated more leniently than horizontal agreements between competitors.

Clicker Questions

True or False:

- Holding a dominant position in a market is itself prohibited under Article 102 TFEU.

FALSE

Only the *abuse* of a dominant position is prohibited – being dominant is allowed.

- Article 101 TFEU applies only to formal, written agreements between competitors.

FALSE

It also covers *tacit collusion* and concerted practices, even without a formal agreement.

- Vertical agreements are generally treated more leniently than horizontal agreements.

TRUE

Clicker Questions

1. (UA) According to the standard welfare framework, why does monopoly pricing reduce total welfare?

- A. Because consumer surplus increases by less than producer surplus decreases.
- B. Because the rise in producer surplus does not fully compensate for the fall in consumer surplus, generating a deadweight loss.
- C. Because monopoly always leads to a complete elimination of trade in the market.
- D. Because consumer surplus and producer surplus both decrease under monopoly.

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2. (MA) Which of the following statements about Article 101 TFEU (ex-Article 81 TEC) are correct?

- A. Agreements that fix prices or share markets are prohibited.
- B. Tacit collusion (without formal agreement) cannot fall under Article 101.
- C. An exemption under Article 101(3) requires four cumulative conditions, including that consumers receive a fair share of the benefit.
- D. R&D cooperation and technology transfer agreements may benefit from block exemptions.

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3. (UA) Which of the following best describes the EU's approach to "dominant position" under Article 102?

- A. A firm is dominant only when it holds a 100% market share.
- B. A firm is dominant whenever it is profitable.
- C. Dominance broadly corresponds to "significant market power" – in some cases a market share of around 40% can suffice, depending on other factors (entry barriers, vertical integration, etc.).
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4. (MA) Among the objectives of EU competition policy, which of the following statements are correct?

- A. Promoting market integration is a high priority of EU competition policy and may sometimes override pure welfare considerations.
- B. Maximising consumer surplus (CS) is the only objective EU competition policy pursues.
- C. The defence of SMEs can raise welfare when limited to protecting them from abuse, but can harm welfare if used to artificially keep inefficient firms alive.
- D. The German tradition emphasises a potential trade-off between economic freedom and economic efficiency.

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5. (UA) Regarding the historical origins of European competition law, which statement is accurate?

- A. EU competition law was first introduced by the Maastricht Treaty in 1992.
- B. The Paris Treaty of 1951, which created the European Coal and Steel Community, included supranational competition rules from the start.
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